M/s. Shree Gopala Iron (India) Ltd. & Anr. v. Paschimanchal Vidyut Vitran Nigam Ltd. & Ors.

High Court of Judicature at Allahabad · Division Bench · 10 April 2012 (reserved 26.3.2012; order-sheet from 17.2.2011) · Civil Misc. Writ Petition No. 9318 of 2011 (with W.P. Nos. 45121 of 2009, 11525 of 2011, 12476 of 2011, 56946 of 2011 and 11863 of 2012) · **All six writ petitions disposed of: petitioners relegated to the Consumer Grievance Redressal Forum, to file complaints within 15 days to be decided expeditiously without any plea of limitation; interim orders to continue till the Forum decides; merits not gone into.**

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HEADNOTE

Six writ petitions by HV-2 category industrial consumers (induction furnaces, steel and paper units) of Paschimanchal Vidyut Vitran Nigam Ltd. challenged the levy of demand charges / billable demand at 75% of the contracted load for periods during which their electricity supply stood temporarily disconnected, contending that after the UPERC abolished minimum consumption charges for HV-2 consumers in the 2006-07 Tariff Order such a levy was in substance a prohibited minimum charge and beyond the scope of Section 45 of the Electricity Act, 2003. The licensee took a preliminary objection of alternative remedy before the Consumer Grievance Redressal Forum. The Division Bench (R.K. Agrawal and Vinay Kumar Mathur, JJ.) upheld the objection and relegated the petitioners to the Forum, holding: (1) although 'grievance' in Regulation 2(n) of the UPERC (Consumer Grievance Redressal Forum & Electricity Ombudsman) Regulations, 2007 is defined restrictively, 'complaint' in Regulation 2(e) is wide enough to cover billing in excess of the tariff-fixed price and breach of any obligation under the Act, the Electricity Supply Code or a tariff order, so on a conjoint reading the Forum is entrusted with jurisdiction to decide such a billing/tariff dispute; (2) the rival contentions on demand charge / 75% billable demand 'cannot be lightly brushed aside' but raise a question of interpretation of the tariff, not of jurisdiction, more appropriately gone into by the Forum, and no show-cause notice was required before raising the bills; (3) the onerous-deposit and limitation exceptions to the alternative-remedy rule (J.M. Baxi, Shantilal & Co.) do not apply, since there is no precondition to deposit the entire amount before the Forum (only 50% where interim relief is sought) and the demand is not time-barred. The petitioners were directed to approach the Forum within 15 days, the complaint to be decided expeditiously without any plea of limitation, the interim orders to continue meanwhile; the Court expressly declined to go into the merits or the petitioners' case law. All six petitions disposed of.

FACTUAL SUMMARY

The leading petitioner, M/s. Shree Gopala Iron (India) Pvt. Ltd. (through its Director Deepak Goyal), runs an induction furnace with a contracted load of 5250 KVA under the HV-2 tariff category, energy charge on TOD metering. A bill dated 1 December 2010 for Rs.51,50,050 was partly paid immediately (Rs.31 lakh), the balance of Rs.20,50,050 being paid by cheque on 25 January 2011 (encashed 10 February 2011). For the delay, supply was disconnected on 30 November 2010; after 30 November 2010 no demand was registered by the meter and no electricity was consumed until supply was resumed on encashment of the cheque. Bills dated 4 January 2011 (Rs.60,95,551) and 2 February 2011 (Rs.40,18,069) nonetheless included demand charges for the disconnection period 30.11.2010 to 25.1.2011. The petitioner challenged that levy, contending that the UPERC had, in the 2006-07 Tariff Order, done away with minimum consumption guarantee charges for HV-2 consumers, so the Nigam could not demand charges for a period when the line and supply were temporarily disconnected. The Nigam justified the levy under the tariff's 'billable demand' provision, by which the bill demand for a month is the actual maximum demand shown by the TVM/TOD meter or 75% of the contracted load, whichever is higher. Five connected petitions by M/s. Maruti Nandan Steels, M/s. Sunita Ispat, M/s. Mohit Paper Mills, M/s. Dasna Steels and M/s. Rana Girders raised the identical question - the Nigam's action in billing and demanding charges for periods of temporary disconnection. Interim protection against disconnection had been granted on 17 February 2011 and continued. Petitioners' counsel (Mayank Agrawal and B.C. Rai) urged that alternative remedy is no absolute bar where the demand runs into lakhs and involves a question of jurisdiction, and that the CGRF's restrictive 'grievance' definition did not cover billing disputes; respondents' counsel (Pankaj Kumar Shukla) pressed the alternative remedy before the Forum. The matter was reserved on 26 March 2012 and decided on 10 April 2012.

REUSABLE CONSTRUCTIONS

1. Although 'grievance' in Regulation 2(n) of the UPERC (Consumer Grievance Redressal Forum & Electricity Ombudsman) Regulations, 2007 is restrictively defined, 'complaint' in Regulation 2(e) is wide - covering billing a price in excess of the tariff-fixed price and breach of any obligation under the Act, the Electricity Supply Code or a tariff order - so on a conjoint reading the CGRF is entrusted with jurisdiction to decide a consumer's billing / tariff-interpretation dispute. p. 11
2. A dispute over whether a licensee may levy demand charge / 75% billable demand for a period of temporary disconnection, after the abolition of minimum consumption charges, is a question of interpretation of the tariff and not of jurisdiction; it does not attract the 'wholly without jurisdiction' exception to the alternative-remedy rule and is more appropriately decided by the Forum. No show-cause notice is required before raising the electricity bills. p. 13
3. The alternative remedy before the CGRF is not rendered onerous or ineffective: the consumer need deposit no amount towards the disputed bills, only 50% (or the prescribed slab) where interim relief is sought, and the demand is not barred by limitation; the onerous-deposit / limitation exceptions to the alternative-remedy rule (J.M. Baxi, Shantilal & Co.) therefore do not apply. p. 11-13
4. On relegating the consumer to the Forum, the writ court may direct the complaint to be filed within a fixed time and decided expeditiously without any plea of limitation, and continue its interim orders until the Forum decides; the merits and the parties' case law are left to the Forum. p. 13

HOLDING-UNITS

HOLDING-UNIT · EA2003::42(5)

RATIO

The Consumer Grievance Redressal Forum has jurisdiction over a consumer's billing / tariff-interpretation grievance; the restrictive 'grievance' definition in Regulation 2(n) does not oust it

QUESTION

Does the Consumer Grievance Redressal Forum constituted under Section 42(5) of the Electricity Act, 2003 have jurisdiction to decide a consumer's dispute about excess / wrong billing (here, demand charge / 75% billable demand levied for a period of temporary disconnection), or is its jurisdiction ousted by the restrictive definition of 'grievance' in Regulation 2(n) of the UPERC (CGRF & Electricity Ombudsman) Regulations, 2007?

HOLDING

The Forum has jurisdiction. Although Regulation 2(n) defines 'grievance' restrictively as a failure of the Distribution Licensee to provide the specified or agreed electricity service, 'complaint' in Regulation 2(e) is wide: it covers billing 'a price in excess of the price fixed by the Commission in tariff order or otherwise' and the breach of any obligation under the Act, the Electricity Supply Code or a tariff order; Regulation 5.2 confers jurisdiction over all complaints except those excepted by Regulation 5.1. On a conjoint reading the Forum is entrusted with jurisdiction to settle such disputes effectively and in a legal manner, and the present billing / tariff dispute can very well be gone into by it. The contention that the restrictive 'grievance' definition ousts the Forum was rejected. p. 11

> EVIDENCE *"From a conjoint reading of the various provisions of the Regulations, we are of the considered opinion that the Forum provided under the Regulations has been entrusted with the jurisdiction to settle disputes effectively and in a legal manner."* p. 11

> EVIDENCE *"It is not correct to say that as the grievances has been defined in a very restrictive manner the present matter cannot be gone into by the Forum."* p. 11

> EVIDENCE *"In fact, Clause (iv) of Regulation 2(e) of the Regulations empowers the Forum to adjudicate upon the dispute regarding breach of any obligation under the Act, Electricity Supply Code and/or tariff order also. The present dispute, therefore, can very well be gone into by the Forum."* p. 11

> FLAG Hybrid source: a ~15-page order-sheet of interim / listing orders (17.2.2011 to the reserving order of 26.3.2012) precedes the reserved judgment of 10.4.2012, which carries its own printed page numbers 2-13; pins are those printed page numbers. The Court's reference to 'Clause (iv) of Regulation 2(e)' appears to be a slip for clause (ii) (billing in excess of the tariff price) / clause (v) (breach of obligation), which are the clauses that in terms cover the dispute.

INTERPLAY · EA2003::45

RATIO

Levy of demand charge / 75% billable demand for a period of temporary disconnection raises a question of tariff interpretation, not of jurisdiction; the 'wholly without jurisdiction' exception to the alternative-remedy rule is not attracted and no show-cause notice is required

QUESTION

Does the petitioners' challenge to the levy of demand charge / 75% of contracted load ('billable demand') for the period supply remained temporarily disconnected - said to be, after the abolition of minimum consumption charges, beyond the scope of Section 45 of the Act - raise a question of jurisdiction (so that the writ court should decide it despite the alternative remedy), or a question of tariff interpretation fit for the Forum?

HOLDING

It raises a question of tariff interpretation, not of jurisdiction. The petitioners' plea that after the UPERC abolished minimum consumption charges for HV-2 consumers the licensee cannot demand charges for a disconnection period, and the licensee's defence that the 2006-07 tariff permits billable demand of the actual maximum demand or 75% of the contracted load whichever is higher, cannot be lightly brushed aside; but the point does not relate to jurisdiction - it is the interpretation of the provisions of the tariff, which can more appropriately be gone into by the Forum. No show-cause notice was required before raising the bills. The 'wholly without jurisdiction' exception to the alternative-remedy rule (Whirlpool, Harbanslal Sahnia, Gujarat Ambuja, Pradeep Kumar Singh) was therefore not attracted, and the writ court declined to decide the merits. p. 13

> EVIDENCE *"cannot be lightly brushed aside. It does not relate to question of jurisdiction but interpretation of the provisions of the Tariff which question can more appropriately be gone into by the Forum."* p. 13

> EVIDENCE *"Further there is no question of issuing any show cause notice before raising the electricity bills."* p. 13

HOLDING-UNIT · EA2003::42(5)

RATIO

The alternative remedy before the CGRF is efficacious - no precondition to deposit the whole demand (only 50% for interim relief), no bar of limitation - so the onerous-deposit / limitation exceptions to the alternative-remedy rule do not apply

QUESTION

Are the onerous-deposit and limitation exceptions to the alternative-remedy rule (recognised in J.M. Baxi and Shantilal & Co.) attracted, so that the writ court should entertain the petitions despite the CGRF remedy?

HOLDING

No. Those principles apply where recourse to the alternative remedy is onerous because it requires deposit of a huge amount, or the demand is barred by limitation. Here there is no precondition to deposit the entire amount before the Forum and the demand is not barred by limitation; indeed a consumer approaching the Forum need deposit no amount towards the disputed bills, and only 50% (or the prescribed slab) where an interim order is sought. The onerous-deposit / limitation exceptions were therefore not attracted, and the petitioners were relegated to the Forum, to approach it within fifteen days, the complaint to be decided expeditiously without any plea of limitation and the interim orders to continue meanwhile. p. 11-13

> EVIDENCE *"The principles laid down by the Apex Court in the cases are not applicable in the present case as neither there is any precondition to deposit the entire amount nor the demand can be said to barred by limitation."* p. 11

> EVIDENCE *"while approaching the Forum the consumer is not required to deposit any amount towards disputed bills. It is required to deposit 50% where an interim order is required and not otherwise."* p. 13

PRINCIPLE TAGS

cgrf-jurisdiction-covers-billing-and-tariff-disputes The CGRF under Section 42(5) EA2003 and the UPERC 2007 Regulations can decide a consumer's excess / wrong-billing and tariff-interpretation grievance; the restrictive 'grievance' definition in Reg. 2(n) does not oust it because 'complaint' in Reg. 2(e) is wide. Cf. the CGRF / Ombudsman-jurisdiction line in SCJ-256 and SCJ-049. p. 11

tariff-interpretation-is-not-a-jurisdictional-question A challenge framed as 'beyond the scope of Section 45' to a demand-charge / 75% billable-demand levy for a disconnection period is really tariff interpretation, not want of jurisdiction; it does not attract the 'wholly without jurisdiction' exception to the alternative-remedy rule. Applied with Whirlpool and Gujarat Ambuja. Lead authorities: *Whirlpool Corporation v. Registrar of Trade Marks, Mumbai*, *State of H.P. v. Gujarat Ambuja Cement Ltd.*. p. 13

alternative-remedy-efficacious-absent-onerous-predeposit The onerous-deposit / limitation exceptions (J.M. Baxi, Shantilal & Co.) do not apply where the statutory forum requires no deposit of the whole demand (only 50% for interim relief) and the demand is not time-barred; the consumer is relegated to the forum. Same relegation-of-a-billing-dispute line as SCJ-636 and SCJ-1561. Lead authorities: *J.M. Baxi & Co. v. Commissioner of Customs, New Kandla*. p. 11-13

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — WHETHER THE LICENSEE MAY LEVY DEMAND CHARGE / 75% BILLABLE DEMAND FOR A PERIOD OF TEMPORARY DISCONNECTION AFTER THE ABOLITION OF MINIMUM CONSUMPTION CHARGES FOR HV-2 CONSUMERS (THE MERITS OF THE LEVY)

Expressly left to the Consumer Grievance Redressal Forum; the Court held this to be a question of tariff interpretation and did not go into the merits or the petitioners' case law (LML, BSES, Deepak Sharma, Oswal Woollen Mills, Badri Kedar Paper, Noida Entrepreneurs, Sanchit Bansal). p. 13

NOT DECIDED — WHETHER THE LEVY IS BEYOND THE SCOPE OF SECTION 45 OF THE ELECTRICITY ACT, 2003

Not decided; treated as an aspect of tariff interpretation for the Forum, not as a jurisdictional question. p. 13

RELATED CASES — SEE ALSO

SCJ-1561 — Recent Allahabad Division Bench relegating a consumer's bill-correctness dispute to the statutory departmental remedy (Clause 6.5) rather than a writ; same alternative-remedy treatment of a billing dispute.

SCJ-636 — A consumer disputing billed arrears must first use Clause 6.5 before the competent authority; alternative-remedy relegation of a billing dispute, as here to the CGRF.

SCJ-684 — Minimum-consumption charges demanded for a period supply stood disconnected, the licensee invoking Clause 4.37; the consumer was relegated to a representation / Consumer Forum - the closest factual analogue to the demand-for-a-disconnection-period question left open here.

SCJ-281 — Clause 4.37 dispute over late-payment surcharge / fixed charges after temporary disconnection; the Court likewise declined to examine the billing dispute in writ.

SCJ-030 — Clause 4.37: minimum-guarantee charges are recoverable only if the licensee ensures the minimum guaranteed supply, not where supply fails for reasons attributable to the licensee - bears on the merits question (charges for a no-supply period) that this case left to the Forum.

SCJ-256 — Marks the outer limits of CGRF jurisdiction (no competence over property-damage compensation, the claimant not a 'consumer' qua transmission lines); a contrast to the billing grievance held within the Forum's jurisdiction here.

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
J.M. Baxi & Co., Gujarat v. Commissioner of Customs, New Kandla & Anr. (2001) 9 SCC 275 Supreme Court of India	Where recourse to an alternative remedy was onerous, involving deposit of a huge amount, and the demand itself was barred by limitation, interference by the High Court on merits was necessary despite the alternative remedy being available.	Distinguished - here there was no precondition to deposit the entire amount and the demand was not barred by limitation. p. 11	Petitioner	Distinguished
Customs Collector, Bombay v. Shantilal & Co. (M.G. Abrol, Addl. Collector of Customs, Bombay) AIR 1966 SC 197 Supreme Court of India	A remedy by way of appeal against an order of confiscation and imposition of a large penalty under the Sea Customs Act is not an effective remedy where no appeal can be filed unless the large penalty imposed has first been deposited.	Distinguished - not applicable, there being no precondition to deposit the whole amount before the Forum. p. 11	Petitioner	Distinguished
Dr. Bal Krishna Agarwal v. State of U.P. & Ors. (1995) 1 SCC 614 Supreme Court of India	Where the writ raised a pure question of law and had been admitted and remained pending for more than five years, the High Court should not non-suit the petitioner on the ground of an available alternative remedy.	Distinguished - here the petitions were not admitted and the alternative-remedy objection was taken at the admission stage itself. p. 11-12	Petitioner	Distinguished
Whirlpool Corporation v. Registrar of Trade Marks, Mumbai & Ors. (1998) 8 SCC 1 Supreme Court of India	Alternative remedy does not operate as a bar where the petition seeks enforcement of a fundamental right, or there is violation of the principles of natural justice, or the order / proceedings are wholly without	Referred - the principle was accepted but the 'wholly without jurisdiction' exception was held not attracted, the dispute being one of tariff interpretation. p. 12	Petitioner	Referred

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
	jurisdiction or the vires of an Act is challenged.			
Harbanslal Sahnia & Anr. v. Indian Oil Corpn. Ltd. & Ors. (2003) 2 SCC 107 Supreme Court of India	Reiterates the Whirlpool exceptions to the alternative-remedy rule.	Referred. p. 12	Petitioner	Referred
ABL International Ltd. & Anr. v. Export Credit Guarantee Corporation of India Ltd. & Ors. (2004) 3 SCC 553 Supreme Court of India	A writ petition against the State or its instrumentality arising out of a contractual obligation is maintainable, and a consequential monetary claim does not bar it; but the High Court imposes self-restraint and will normally not exercise the power unless the action is arbitrary or unreasonable in violation of Article 14.	Referred. p. 12	Petitioner	Referred
Sanjana M. Wig v. Hindustan Petroleum Corpn. Ltd. (2005) 8 SCC 242 Supreme Court of India	A writ petition may be maintainable where the action of the party is dehors the terms of the agreement and beyond the scope and ambit of the domestic forum created thereunder.	Referred. p. 12	Petitioner	Referred
Popcorn Entertainment & Anr. v. City Industrial Development Corpn. & Anr. (2007) 9 SCC 593 Supreme Court of India	Reiterates the principles laid down in Whirlpool Corporation on the exceptions to the alternative-remedy rule.	Referred. p. 12	Petitioner	Referred
State of H.P. & Ors. v. Gujarat Ambuja Cement Ltd. & Anr. (2005) 6 SCC 499 Supreme Court of India	There are two well-recognised exceptions to the doctrine of exhaustion of statutory remedies: where proceedings are taken before a forum under a provision of law which is ultra vires, and where the impugned order is made in violation of the principles of natural justice or the proceedings themselves are an abuse of process.	Referred - exceptions stated but not attracted on the facts. p. 12	Petitioner	Referred
Ashok Kumar & Ors. v. State of U.P. & Ors. 2008 (60) ADJ 660 (DB) High Court of Judicature at Allahabad	The Court entertained a writ petition only on the ground that the issues raised were purely legal and involved a jurisdictional issue.	Referred. p. 12	Petitioner	Referred
Pradeep Kumar Singh v. U.P. State Sugar Corporation & Anr. (2002) 1 UPLBEC 705 High Court of Judicature at Allahabad	A Division Bench held that alternative remedy is not a bar where a writ petition is filed for enforcement of a fundamental right, or where there is violation of the principles of natural justice, or where the order or proceedings are wholly without jurisdiction or the vires of an Act is challenged.	Referred. p. 12-13	Petitioner	Referred